CONFERENCE CALL NOTES: Global Minerals Update Ahead of LME Week

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Global Minerals Update Ahead of LME Week

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Washington’s minerals financing pipeline will expand, but success faces higher risk due to the type of financing the Trump administration is using. Large commitments will not translate quickly into reduced dependence on China.
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Europe is unlikely to catch up in the short term without faster disbursement, binding offtake agreements, and stronger public financing. Existing policy is insufficient to shift markets in its favor.
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As Australia attracts more financing and attention to its mining and metals industry, world powers are using their leverage to extract engineering and finance jobs for their own entities.

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Speakers

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Timothy Puko, Director for Commodities
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Brian Crandall, contractor working with the commodities team
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Jesus Renzullo, Senior Consultant in Energy & Resources

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US financing: Trump administration’s bigger but riskier funding

The Trump administration deserves credit for getting financing going at unanticipated size and speed. Bipartisan support for mineral spending — and especially deep Republican support — all got frontloaded in last year’s One Big Beautiful Bill Act, giving the Trump administration investment power to move

quickly.

However, not all financing is created equal. The Trump administration has eschewed tax credits and instead leaned heavily on conditional loans and promises of loans, making Trump administration investment numbers less solid—for now—compared to the Biden administration's.

That Trump-era funding will become more tangible over time, but it still comes with risks, especially at a time of higher interest rates. They make conversion into actual financing harder by weakening private investors' appetite for projects exposed to delays and commodity-price risk. If investors can earn 5.5% on a 10-year security, mining and metals projects struggle to compete for those investment dollars.

Eurasia Group's new analysis also shows that the Trump administration has made material progress on the real bottlenecks in the industry: processing, smelting and refining. This midstream section of the chain is currently the chokepoint dominated by China. One development, the Korea Zinc's Project Crucible, does account for most of the administration's funding awards to the midstream sector. While that presents some concentration risk, it might also be the most effective way to deal with a challenging problem: Using an "ink spot" strategy to provide overwhelming force to address one issue before moving on to others can help avert the possibility of spreading efforts too thin.

Project Crucible: Material upside, delayed impact

The $7.4 billion Korean Zinc smelter in Tennessee accounts for $6.3 billion in Department of Defense spending, according to Crandall.

The project is expected to come online in 2029, followed by about a year of optimization, a timeline that places production at announced levels in 2030. Expected output includes about 300,000 tons of zinc, 200,000 tons of lead, 45 tons of germanium, and 55 tons of gallium, and 13 other non-ferrous metals, 11 of them critical. That could cover about 10% of US antimony demand in 2029.

Europe: Execution remains the constraint

Eurasia Group does not expect the European Union (EU) to catch up with competing consumer countries in the short term. The issue is less policy design than funding scale, speed, and certainty.

The EU has pledged around €3 billion for critical minerals projects over the coming years, compared to Washington's $50 billion pledged since 2022. Most strategic projects depend on private capital for more than 70% of their financing. Without more public equity, binding offtake agreements, and potentially price stabilization, we expect investors to stop waiting for Brussels and go for other options with more public backing and faster disbursement.

A more constructive outlook would require approval of the highly expected Critical Raw Materials Centre with strong policy tools, unified funding disbursement already possible through the proposed unification of funding stream into a "competitivity fund", and increased financial support. Consolidating funding streams into a competitiveness fund could improve execution. Increasing the funding itself looks harder given fiscal constraints.

Australia: Financing brings competing demands

Billions of the Trump administration's preliminary financing offers are going for Australian projects, an exciting development for Australian miners. Many are benefitting from the global interest in critical minerals, touting their expansion plans for gold, copper, and niche metals such as tungsten, and keen to get government support from Canberra, Washington, or elsewhere.

Yet that greater attention from international investors comes with other pressure. Many feel pressure to move their corporate or fundraising focus to the US, illustrated by Sunrise Energy Metals' planned US redomiciliation after receiving a financing package from the US government. Bankers who can work the Australian minerals industry from Washington are in demand.

Beijing similarly is leveraging its buying power—dominant in the Australian market—to ensure push more engineering and construction subcontracting to Chinese firms. Australian job losses to Chinese competitors could draw union and Labor government scrutiny, putting Australian mining companies in a political bind between customers and domestic stakeholders.

Price-floor discussions could regain momentum. Eurasia Group expects Washington to pursue some form of program, but negotiations will require more time.

Key Watch Items

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Conversion of US letters of interest into committed financing and private investment.
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Project Crucible's 2029 startup and 2030 production ramp.
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Greater support for lithium processing, graphite, and novel processing technologies.
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EU funding consolidation, binding offtake agreements, and the proposed Critical Raw Materials Centre.
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Australian subcontracting shifts and any employment-driven political response.

What Clients Are Asking

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Recycling's role in diversification: Puko expects recycling support to expand over the next Congress and become more prominent, especially from 2029 onward. Local environmental impacts do present a major impediment. Crandall places greater emphasis on commercial-scale execution, including Phoenix Tailings' 2028–2029 development timeline.
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Europe's recycling economics: Renzullo sees a short-term market case, citing some rare-earth prices in Europe around 10 to 16 times Chinese levels. Longer-term profitability and sustainability still depend on stronger funding, execution, and offtake support.
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Greenland's supply potential: Puko is bearish, particularly in the short term, because operating conditions are too difficult. Reducing tensions over Greenland could matter more indirectly by reopening space for trade and price-floor diplomacy.
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Washington’s next mineral priorities: Puko sees possible additional help for graphite and further emphasis on gallium, germanium, and other defense-sensitive materials. Crandall identifies scaling heavy rare-earth production—particularly dysprosium and terbium—as a potentially significant breakthrough.

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Multilateral efforts to enact price floors: Puko expects separate arrangements for specific materials with one or two partners, followed by efforts to broaden participation—not an initial multilateral framework through the Group of Seven (G7) or Group of Twenty (G20).

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Timothy Puko
Director, Commodities
+1 202.540.5143
Puko@eurasiagroup.net
Brian Crandall
Academic Associate
crandall.ne@eurasiagroup.net
Jesus Renzullo
Consultant, Energy, Climate & Resources
renzullo_narvaez.ne@eurasiagroup.net
EG Energy, Climate & Resources
ecr@eurasiagroup.net

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